

AtlasGrid Systems - one-page IC snapshot

SYNTHETIC - NOT INVESTMENT ADVICE

REPRICE

The asking price does not compensate for definition quality, concentration, fully burdened margins, or leverage fragility. A restructured entry with the same debt quantum clears the declared return hurdles.

Decision economics

MEASURE	RESULT	BASIS
Repriced return	23.26%	2.80x MOIC · five-year hold
Complete-cohort NRR	99.87%	Management active-only view: 105.51%
Top-10 parent concentration	20.39%	Entity view: 3.39%
Fully burdened gross margin	72.79%	Reported view: 80.48%
Normalized LTM EBITDA	\$25.93M	Seller-adjusted: \$34.94M

What blocks advancement

- 5 blocking issues, including 0 failed quantitative hurdle(s).
- **Validate cancellation rights** - Deal counsel; pre signing. Reduce live-ARR credit or reprice if cancellation rights are broader than modeled.
 - **Reconcile parent concentration** - Commercial diligence lead; pre ic. Re-underwrite concentration and price if master agreements reveal greater parent exposure.
 - **Support seller EBITDA add-backs** - QoE lead; pre debt commitment. Remove unsupported EBITDA and rerun leverage, covenants, maximum bid, and returns.
 - **Confirm lender EBITDA and covenant definitions** - Financing lead; pre debt commitment. Do not commit debt until add-backs, liquidity, and covenant headroom reconcile.

Path to yes

- Counter at a \$210M fixed-value cap
 - Retain the \$120M debt cap
 - Give no pricing upside credit
 - Tie contingent consideration to verified live ARR, retention, and margin quality
- Approval:** Requires investment committee approval. No capital action is authorized.
- Analysis cutoff: 2026-08-29